

MSFT Executive Summary 2026

Year		
2024	2025	2026

11.8810%

gross_margin

16.3606%

operating_margin

14.0959%

net_margin

19.7554%

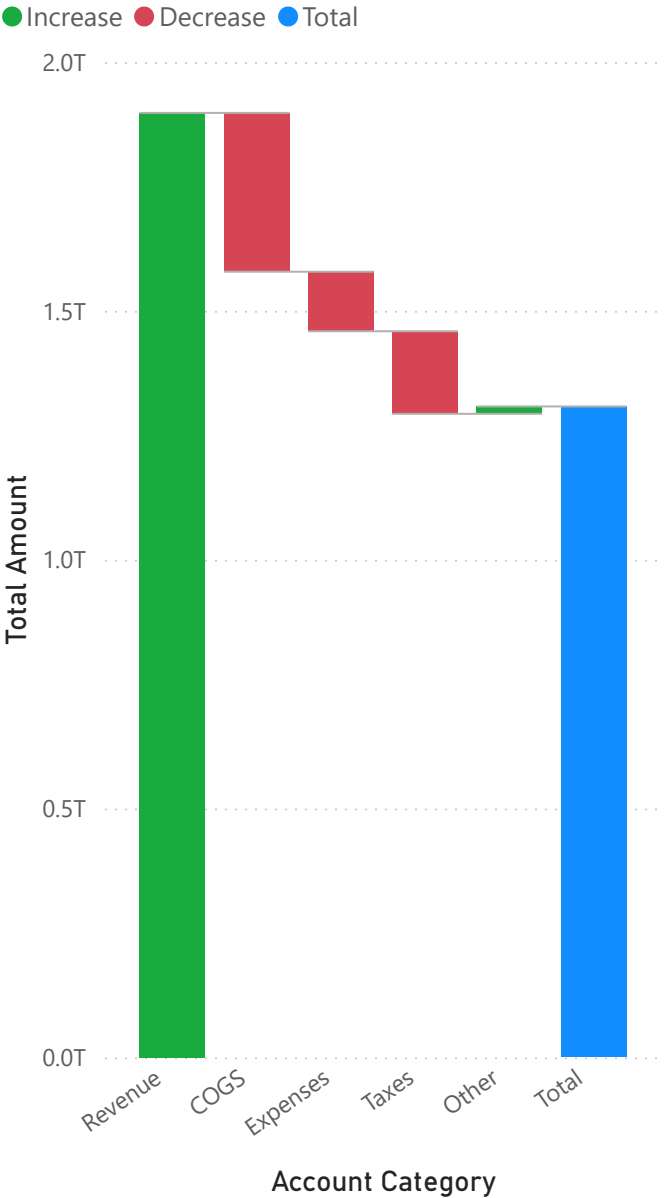
yoy_growth

-6.3029%

operating_expense_ratio

Year	Account Category	2026 total_amount	yoy_growth
⊟	Revenue	1,897,695,000,000.00	20.2961%
	Dynamics products and cloud services	9,006,000,000.00	15.0632%
	Enterprise and partner services	8,260,000,000.00	6.4433%
	Intelligent Cloud	137,791,000,000.00	29.6673%
	LinkedIn	19,817,000,000.00	11.2565%
	Microsoft 365 Commercial Products and Cloud Services	101,997,000,000.00	16.2134%
	Microsoft 365 Consumer products and cloud services	9,175,000,000.00	23.9195%
	Microsoft Cloud	214,400,000,000.00	26.9390%
	More Personal Computing	54,052,000,000.00	-1.0924%
	OpenAI Global, LLC	24,100,000,000.00	0.0000%
	Other	109,000,000.00	51.3889%
	Other Countries	161,045,000,000.00	17.3986%
	Product	64,696,000,000.00	1.1729%
	Productivity and Business Processes	139,996,000,000.00	15.8811%
	Revenue	331,839,000,000.00	17.7887%
	Search advertising	15,176,000,000.00	9.3529%
	Server Products and Cloud Services	129,425,000,000.00	31.4827%
	Service and Other	267,143,000,000.00	22.6676%
	United States	170,794,000,000.00	18.1589%
	Windows and Devices	17,084,000,000.00	-1.3284%
	XBOX	21,790,000,000.00	-7.0987%
⊕	COGS	-319,122,000,000.00	21.1121%
⊕	Gross Profit	225,465,000,000.00	16.2832%
⊕	Expenses	-119,610,000,000.00	23.4862%
⊕	Operating Income	310,474,000,000.00	20.7807%
⊕	Taxes	-165,934,000,000.00	34.2215%
⊕	Other	14,882,000,035.95	-0.1074%
⊕	Net Income	267,498,000,000.00	31.3428%
	Total	2,111,348,000,035.95	19.7554%

Revenue to Net Income Bridge



MSFT 2027 Forecast

revenue growth %

-0.10

expense growth %

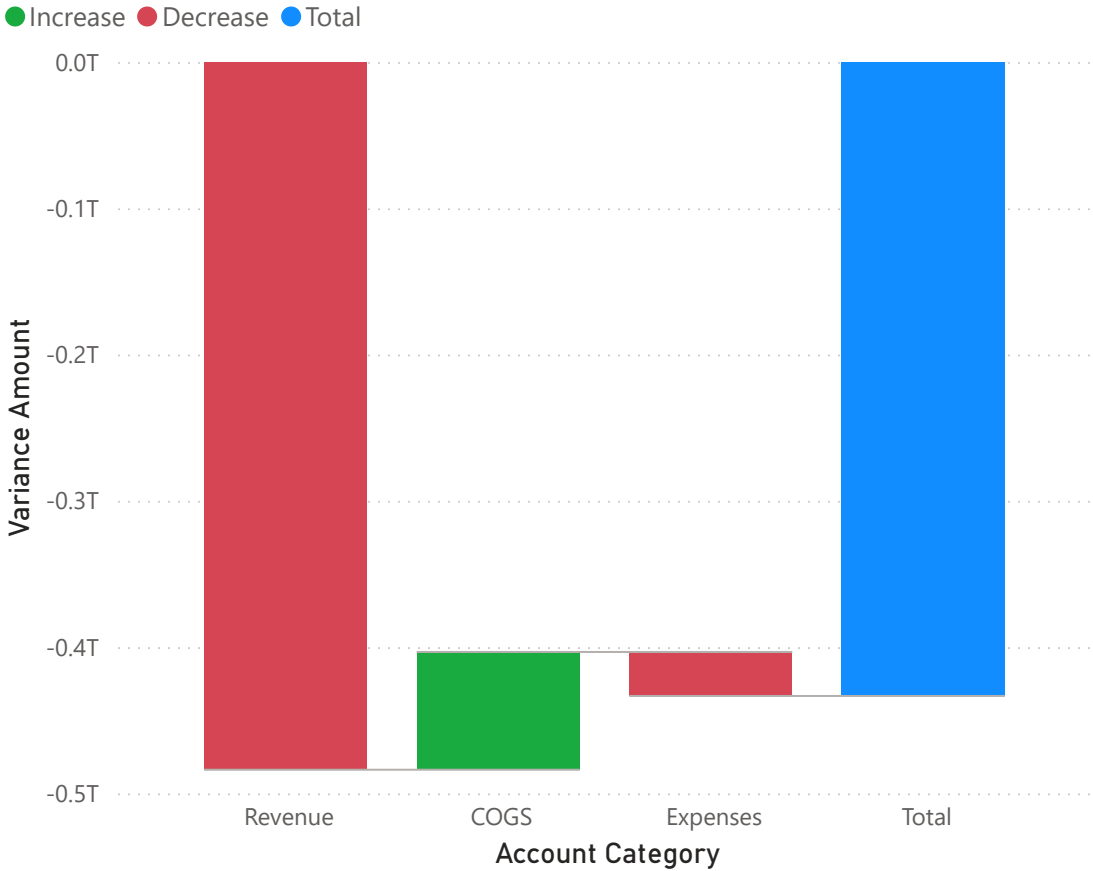
0.10

BULL CASE

BASE CASE

BEAR CASE

Variance by Account Category



Account Category	total_amount	projected_amount	variance_pct	variance_amount
Revenue	4,838,525,000,000.00	4,354,672,500,000.00	-10.00%	-483,852,500,000.00
COGS	-804,957,000,000.00	-724,461,300,000.00	10.00%	80,495,700,000.00
Gross Profit	590,366,000,000.00	531,329,400,000.00	-10.00%	-59,036,600,000.00
Expenses	-300,843,000,000.00	-330,927,300,000.00	-10.00%	-30,084,300,000.00
Operating Income	786,396,000,000.00	697,275,100,000.00	-11.33%	-89,120,900,000.00
Taxes	-397,348,000,000.00	-397,348,000,000.00	0.00%	0.00
Other	44,680,000,086.95	44,680,000,086.95	0.00%	0.00
Net Income	647,434,000,000.00	558,313,100,000.00	-13.77%	-89,120,900,000.00

12.8210%

projected_net_margin

16.0121%

projected_operating_margin

12.2014%

projected_gross_margin

7.5994%

projected_opex_ratio